Along with the Planning Commission came the concept of Plan expenditure, a unique contribution of India to governmental financial management. Both on the capital and revenue accounts, expenditures were bifurcated into Plan and non-Plan expenditures. New developmental expenditure was Plan expenditure and the rest non-Plan.

The Constitution of India did not recognize this classification of expenditure. Nor was it ever amended to provide for it. The terms of reference of the Finance Commission enumerated in Article 280 did not mention such expenditure either.

The Planning Commission was made in charge of Plan expenditure. If the entire developmental expenditure of the government were to be lorded over by the Planning Commission, it had serious implications for distribution of central tax revenues between the Centre and states.

Soon, the matter engaged the attention of the Finance Commissions. The second and third Finance Commissions debated and expressed their resentment but finally accepted that Plan expenditure was outside their scope of work.

The Planning Commission assumed leadership in recommending loans and grants from the Centre for states' development projects, which continued to be formally administered by the respective ministries and departments. It also assumed the role of approving states' Plans, which integrated central loans and grants with states' expenditures on such projects.

In the 1950s and 1960s, though the unintended undermining of the Finance Commission had begun with the establishment of the Planning Commission and system of Plan expenditure, intergovernmental fiscal relations operated without much deviation from the constitutional arrangement.